



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Nine Months Ended 31 December 2022

ORIENT FINANCE PLC
INCOME STATEMENT

For the	03 Months Ended 31st December		09 Months Ended 31st December	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	972,347,681	760,499,607	2,732,538,392	2,153,431,566
Interest income	933,064,198	696,838,763	2,614,443,054	1,950,168,290
Interest expenses	(752,674,497)	(290,244,559)	(1,833,740,862)	(825,930,632)
Net interest income	180,389,701	406,594,204	780,702,192	1,124,237,658
Fee and commission income	28,939,446	14,503,441	73,451,157	63,344,849
Other operating income	10,344,037	49,157,403	44,644,180	139,918,427
Total operating income	219,673,184	470,255,048	898,797,530	1,327,500,934
Impairment charges for loans and receivables to customers	4,212,744	(4,744,714)	(83,325,049)	(84,548,209)
Net operating income	223,885,928	465,510,334	815,472,481	1,242,952,725
Operating expenses				
Personnel expenses	(168,634,873)	(124,828,454)	(498,652,221)	(353,520,633)
Depreciation and amortization	(24,777,722)	(15,055,609)	(71,718,089)	(42,641,480)
Other operating expenses	(82,729,701)	(144,684,758)	(250,832,768)	(412,248,215)
Operating profit/(loss) before Tax on Financial Services	(52,256,367)	180,941,513	(5,730,597)	434,542,397
Tax on financial services	(13,136,835)	(42,010,251)	(34,696,740)	(87,918,085)
Profit/(loss) before income tax	(65,393,202)	138,931,262	(40,427,337)	346,624,312
Income tax expense	-	(10,153,095)	(4,650,157)	(17,245,296)
Profit/(loss) for the period	(65,393,202)	128,778,167	(45,077,494)	329,379,016
Other comprehensive income/(expenses)				
Other comprehensive income to be re - classified to profit or loss in subsequent periods				
Fair value gain/(loss) on investments in quoted shares	(2,282,000)	1,881,224	(4,169,714)	9,914,375
Total comprehensive income/(expenses) for the period net of tax	(67,675,203)	130,659,391	(49,247,209)	339,293,391
Earnings Per Share (Rs.)	(0.31)	0.61	(0.21)	1.56

Figures in brackets indicate deductions.

Colombo
15th February 2023

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At	31st December 2022 Rs. Unaudited	31st March 2022 Rs. Audited
ASSETS		
Cash and cash equivalents	318,538,712	296,439,735
Financial assets	961,561,980	725,704,749
Loans and receivables to customers	12,806,850,696	14,125,811,999
Investments with banks and other financial institutions	267,356,071	242,460,738
Other assets	234,361,478	255,411,953
Real estate stock	10,571,618	9,338,093
Deferred tax asset	371,656,108	371,600,809
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	37,899,935	37,899,935
Property, plant and equipment	67,100,152	84,505,805
Right of use assets	72,920,095	115,496,075
Investment properties	649,066,462	662,150,002
Total assets	16,598,309,051	17,727,245,639
LIABILITIES		
Due to banks - bank overdrafts	391,900,346	680,571,641
Deposits from customers	9,950,006,214	9,204,263,013
Interest bearing borrowings	2,873,335,561	3,874,859,251
Lease liability - Right-of-use assets	25,435,219	76,660,167
Other liabilities	17,375,966	514,908,252
Retirement benefit obligations	57,623,620	44,103,980
Total liabilities	13,315,676,925	14,395,366,304
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,736,747	375,736,747
Revaluation reserve	141,120,773	141,120,773
Retained earnings/(accumulated losses)	333,895,568	383,142,776
Total equity	3,282,632,127	3,331,879,335
Total equity and liabilities	16,598,309,051	17,727,245,639
Net assets per share	15.55	15.78

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd.
Mr. Manjula Tennakoon
Chief Financial Officer

Sgd.
Mr. K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd.
Mr. Rajendra Theagarajah
Chairman

Sgd.
Mr. Prakash Schaffter
Director

Colombo
15th February 2023

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 31st December 2022

	Stated Capital	Statutory reserve fund	Revaluation reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the nine months	-	-	-	329,379,016	329,379,016
Other comprehensive income (expense) net of taxes	-	-	-	9,914,375	9,914,375
Balance as at 31st December 2021	2,431,879,039	330,437,030	141,120,773	322,786,559	3,226,223,401
Balance as at 01st April, 2022	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Profit/(Loss) for the nine months	-	-	-	(45,077,494)	(45,077,494)
Other comprehensive income (expense) net of taxes				(4,169,714)	(4,169,714)
Balance as at 31st December 2022	2,431,879,039	375,736,747	141,120,773	333,895,568	3,282,632,127

Figures in brackets indicate deductions.

Colombo
15th February 2023

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 31st December

	2022 (Unaudited) Rs.	2021 (Unaudited) Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	(40,427,337)	346,624,312
Adjustment for:		
Depreciation/amortization	71,718,089	42,641,480
Profit on disposal of property, plant and equipment	(114,367)	(481,188)
Impairment charges for loans and receivables to customers	83,325,049	86,977,902
Finance expenses	1,833,740,862	802,017,205
Investment income	(127,643,933)	(47,473,557)
Provision for gratuity	16,241,967	15,165,000
Operating profit/(Loss) before working capital changes	1,836,840,329	1,245,471,154
Change in loans and receivables to customers	1,235,636,255	(1,007,371,946)
Change in other assets	21,050,475	(72,551,028)
Change in deposits from customers	562,429,462	254,231,740
Change in other liabilities	(446,307,339)	371,066,526
	3,209,649,182	790,846,447
Rent Paid	(59,980,116)	(49,963,732)
Interest paid	(968,538,804)	(797,901,515)
Income tax Paid		(17,245,296)
Gratuity paid	(2,722,327)	(12,154,123)
Net cash from/(used in) operating activities	2,178,407,934	(86,418,219)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(31,557,821)	(40,211,274)
Proceeds from sale of property, plant and equipment	226,700	
Expenses incurred for real estate stock	(1,233,525)	
Net change in available for sale financial assets	(240,026,945)	(40,392,071)
Net change in investments with banks and other financial institutions	(16,227,568)	(156,734,811)
Investment income received	7,610,617	8,091,000
Net cash generated from/(used in) investing activities	(281,208,542)	(229,247,156)
Cash flows from financing activities		
Interest bearing borrowings obtained	42,899,669	3,103,000,000
Repayment of interest bearing borrowings	(878,610,748)	(2,127,169,424)
Interest Paid on Borrowings	(750,718,042)	(253,721,863)
Net cash generated from/(used in) financing activities	(1,586,429,120)	722,108,713
	-	-
Net change in cash and cash equivalents	310,770,273	406,443,338
Cash and cash equivalents at the beginning of the period	(384,131,906)	(194,895,886)
Cash and cash equivalents at the end of the period	(73,361,633)	211,547,452
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	240,323,758	193,700,925
Cash at bank	78,214,954	108,807,509
Bank overdrafts - secured	(391,900,346)	(90,960,981)
	(73,361,633)	211,547,452

Figures in brackets indicate deductions.

Colombo

15th February 2023

ORIENT FINANCE PLC

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 31st Dec	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Interest income	1,429,691,955	1,411,550,195	178,660,289	111,429,750	2,915,373	3,368,529	875,531,506	376,346,259	127,643,932	47,473,557	2,614,443,054	1,950,168,290
Fee and commission income	17,528,072	35,815,448	-	11,938,483	663,197	2,266,598	-	-	28,209,952	13,324,321	46,401,221	63,344,849
Other income	31,717,986	25,324,276	-	-	-	-	-	-	39,976,131	114,594,151	71,694,116	139,918,427
Total segmental income	1,478,938,013	1,472,689,919	178,660,289	123,368,232	3,578,570	5,635,127	875,531,506	376,346,259	195,830,015	185,306,404	2,732,538,392	2,153,431,567
Less: Interest expense	(992,479,767)	(452,230,992)	(119,894,627)	(50,702,953)	(2,401,492)	(2,463,045)	(587,548,157)	(149,933,248)	(131,416,818)	(170,600,394)	(1,833,740,862)	(825,930,632)
Segmental results	486,458,246	1,020,458,927	58,765,662	72,665,279	1,177,078	3,172,082	287,983,349	226,413,011	64,413,197	14,706,009	898,797,530	1,327,500,934
Depreciation and amortization	(38,816,146)	(29,124,214)	(4,689,111)	(2,506,445)	(93,923)	(410,779)	(22,979,164)	(6,835,212)	(5,139,746)	(3,764,829)	(71,718,089)	(42,641,479)
Impairment charge	(82,072,059)	(56,039,434)	5,834,776	(6,220,534)	(5,350,050)	(6,010,508)	(853,579)	(884,177)	(884,177)	(16,277,733)	(83,325,089)	(84,548,209)
Other Expenses	(405,645,477)	(643,069,845)	(49,003,229)	(50,179,299)	(981,535)	(8,223,846)	(240,142,178)	(136,841,659)	(53,712,569)	(15,372,283)	(749,484,989)	(853,686,933)
Income tax	(21,295,811)	(11,778,571)	(2,572,600)	(1,013,670)	(51,529)	(166,129,59)	(12,607,124)	(2,764,333)	(2,819,834)	(1,522,593)	(39,346,897)	(17,245,296)
Profit/(loss) after tax	(61,371,247)	241,262,355	8,335,498	12,745,332	(5,299,959)	2,944,415	11,401,304	40,057,385	1,577,083	(36,937,438)	(45,077,535)	329,379,017
Segmental assets	8,313,645,615	8,456,988,276	887,230,875	1,987,468,452	111,606,100	51,150,188	4,272,226,250	3,113,671,960	3,013,600,211	3,542,867,719	16,598,309,051	17,152,146,595
Segmental liabilities	6,669,463,663	6,866,275,805	711,764,051	1,613,636,687	89,533,865	41,529,122	3,427,312,043	2,528,007,578	2,417,603,303	2,876,474,001	13,315,676,925	13,925,923,193

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2022. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2022.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

	31-Dec-22	31-Dec-21
Value of Ordinary Shares (Rs.)	2,431,879,039	2,431,879,039
No. of Ordinary Shares	211,101,155	211,101,155

Share Price During the Period

For the Quarter Ended

		31-Dec-22	31-Dec-21
Highest	(Rs)	9.00	17.50
Lowest	(Rs)	6.50	12.40
Closing	(Rs)	8.50	16.00

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31 December 2022**

	Name	No. of Shares	%
1	Janashakthi LTD Account No 01	105,455,437	49.95
2	Seylan Bank PLC/Janashakthi PLC (Collateral)	90,000,000	42.63
3	Access Engineering PLC	2,776,471	1.32
4	First Capital Limited	2,138,299	1.01
5	Mr.A.Rajaratnam	704,183	0.33
6	DFCC Bank PLC/G.A.C. De Silva	629,000	0.30
7	Commercial Bank of Ceylon PLC/Janashakthi Limited	555,057	0.26
8	Mr.R.A.B.K.Kumara	500,000	0.24
9	Mr.P.Ramachandran	500,000	0.24
10	Seylan Bank PLC/Imiya Pathirannehalage Indrani Lalith Gunathilaka	406,750	0.19
11	LOLC Finance PLC/V.S.Rajasooriyar	375,000	0.18
12	Mr.L.P.Mendis	358,695	0.17
13	Mrs.V.Saraswathi	347,024	0.16
14	Hatton National Bank PLC/Koralagodage Done Sahan Rachitra Kulatunga & Mrs.Oshadhini Upulika Kumari Jayasundara	282,462	0.13
15	Commercial Credit and Finance PLC	260,000	0.12
16	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12
17	Mr.M.K. De Livera	207,629	0.10
18	Miss H.M.D.A. Wijayawardena	147,850	0.07
19	Mr.V.S.Rajasooriyar	146,950	0.07
20	Seylan Bank PLC/Mohamed Mushtaq Fuad	146,600	0.07
21	Mr.K.D.A.Weerasinghe	133,400	0.06
22	Mr.W.S.A.R. Fernando	122,981	0.06
23	Mr.W.M.W.P.B.Weerakoon	121,400	0.06
	Others	4,539,081	2.15
	Total	211,101,155	100.00

Directors' Shareholding as at 31 December 2022

	Name of the Director	No. of Shares	%
1	Mr. Rajendra Theagarajah (Chairman)	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Nawalage Sriyan Suresh cooray	-	-
6	Mr. Kather Meerasahim Mohamed Jabir	-	-
7	Mr. R. M. Darshana Joseph Ratnayake	-	-
8	Mr. Nalin Karunaratne	-	-
	Total	10	

CEO's Shareholding as at 31 December 2022

Mr. K. M.M. Jabir	-	-
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Public Holding as at 31 December 2022

Number of Public Shareholders	12,952,342
Public Shareholding Percentage	847
Float Adjusted market capitalization (Rs)	6.14%
	110,173,693

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.